INTANGIBLE ASSETS

Learning Outcome

- explain the financial reporting and disclosures related to intangible assets

Intangible assets are identifiable non-monetary assets without physical substance.[1] An identifiable asset can be acquired on a standalone basis (i.e., can be separated from the entity) or arises from contractual or legal rights and privileges. Common examples include patents, licenses, trademarks, and customer lists. The most common intangible that is *not* separately identifiable is goodwill, which arises in business combinations and is discussed further in the next lesson.

IFRS permits companies to report intangible assets using either a cost model or a revaluation model. The revaluation model can be selected only when there is an active market for an intangible asset. Both measurement models are essentially the same as described for property, plant, and equipment (PP&E). US GAAP permits only the cost model.

For each intangible asset, a company assesses whether the useful life of the asset is finite or indefinite. Amortization and impairment principles apply as follows:

- An intangible asset with a finite useful life is amortized on a systematic basis over the best estimate of its useful life, with the amortization method and useful life estimate reviewed at least annually.
- Impairment principles for an intangible asset with a finite useful life are the same as for PP&E.
- An intangible asset with an indefinite useful life is not amortized. Instead, at least annually, the reasonableness of assuming an indefinite useful life for the asset is reviewed and the asset is tested for impairment.

Financial analysts traditionally view reported values of intangible assets - particularly goodwill - with caution. Consequently, in assessing financial statements, some analysts exclude the book value assigned to intangibles, reducing net equity by an equal amount (obtaining a “tangible book value”) and increasing pretax income by any amortization expense or impairment associated with the intangibles. An arbitrary assignment of zero value to intangibles is not advisable; instead, an analyst should examine each listed intangible and assess whether an adjustment should be made. Note disclosures about intangible assets may provide useful information to the analyst. These disclosures include information about useful lives, amortization rates and methods, and impairment losses recognized or reversed.

Further, a company may have developed intangible assets internally that can be recognized only in certain circumstances. Companies may also have assets that are never recorded on a balance sheet because they are non-identifiable and the company does not have sufficient control over their future economic benefits. These assets might include management and technical skills of employees, market share, name recognition, a good reputation among customers, and so forth. Such assets are valuable and are reflected, in theory, in the price at which the company’s equity securities trade in the market (and the price at which the entirety of the company’s equity would be sold in an acquisition transaction). Such assets may be recognized as goodwill by an acquirer if the company is sold.

Identifiable Intangibles

trademarks, copyrights, franchises, licenses, and other rights. Identifiable intangible assets may have been created internally or purchased by a company. Determining the cost of internally created intangible assets can be difficult and subjective. For these reasons, under IFRS and US GAAP, the general requirement is that internally created identifiable intangibles are expensed rather than reported on the balance sheet.

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IFRS provides that for internally created intangible assets, the company must separately identify its research phase and development phase.[2] The research phase includes activities that seek new knowledge or products. The development phase occurs after the research phase and includes design or testing of prototypes and models. IFRS requires that costs to internally generate intangible assets during the research phase must be expensed on the income statement while costs incurred in the development stage can be capitalized as intangible assets if certain criteria are met, including technological feasibility, the ability to use or sell the resulting asset, and the ability to complete the project.

Category
Analyzing Balance Sheets

US GAAP prohibits the capitalization of most costs of internally developed intangibles and research and development. All such costs are expensed. Costs related to the following categories typically are expensed under IFRS and US GAAP. They include the following:

- internally generated brands, mastheads, publishing titles, and customer lists;
- start-up costs;
- training costs;
- administrative and other general overhead costs;
- advertising and promotion;
- relocation and reorganization expenses; and
- redundancy and other termination costs.

In contrast to internally created intangibles, *acquired* or *purchased* intangible assets are capitalized and reported as separately identifiable intangible, so long as they arise from contractual rights (such as a licensing agreement), other legal rights (such as patents), or have the ability to be separated and sold (such as a customer list).

Measuring Intangible Assets

Alpha Inc., a motor vehicle manufacturer, has a research division that worked on the following projects during the year:

Project 1: Research aimed at finding a steering mechanism that does not operate like a conventional steering wheel but reacts to the impulses from a driver's fingers.

Project 2: The design of a prototype welding apparatus that is controlled electronically rather than mechanically. The apparatus has been determined to be technologically feasible, salable, and feasible to produce.

The following is a summary of the expenses of the research division (in thousands of euros):

Exhibit 1:

Summary of Expenses

	General	Project 1	Project 2
Material and services	128	935	620
Labor			

Administrative personnel	120		
Design, construction, and testing	270	450	470

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1. Five percent of administrative personnel costs can be attributed to each project (Project 1 and 2). Explain the accounting treatment of Alpha's costs for Projects 1 and 2 under IFRS and US GAAP.

Hide Solution

Solution to 1:

Under IFRS, the capitalization of internal development costs for Projects 1 and 2 would be as follows:

		Amount Capitalized as an Asset (in thousands of euros)
Project 1:	Classified as in the research stage, so all costs are recognized as expenses	0
Project 2:	Classified as in the development stage, so costs may be capitalized. Note that administrative costs are not capitalized.	(620 + 320 + 470)= 1,410

Under US GAAP, there would no capitalization of these costs as US GAAP prohibits the capitalization of most costs of internally developed intangibles and research and development. All costs would be expensed.

Category
Analyzing Balance Sheets

Consider the balance sheet information presented in Exhibit 2 and 3 for SAP and Apple. SAP's 2017 balance sheet shows EUR2,967 million of intangible assets, and Apple's 2017 balance sheet shows acquired intangible assets, net of USD2,298 million. SAP's notes to financial statements disclose the types of intangible assets (software and database licenses, purchased software to be incorporated into its products, customer contracts, and acquired trademark licenses) and indicates that all of its purchased intangible assets other than goodwill have finite useful lives and are amortized either based on expected consumption of economic benefits or on a straight-line basis over their estimated useful lives, which range from 2 to 20 years. Apple's notes disclose that its acquired intangible assets consist primarily of patents and licenses, and almost the entire amount represents definite-lived and amortizable assets for which the remaining weighted-average amortization period is 3.4 years as of 2017.

Exhibit 2:

SAP Group Consolidated Statements of Financial Position (Excerpt: Non-Current Assets Detail) (in millions of EUR)

	As of 31 December	
Assets	**2017**	**2016**
Total current assets	11,930	11,564
Goodwill	21,274	23,311
Intangible assets	2,967	3,786
Property, plant and equipment	2,967	2,580
Other financial assets	1,155	1,358
Trade and other receivables	118	126
Other non-financial assets	621	532

Deferred tax assets	1,022	571
Total non-current assets	30,567	32,713
Total assets	**42,497**	**44,277**
Total current liabilities	10,210	9,674
Total non-current liabilities	6,747	8,205
Total liabilities	**16,958**	**17,880**
Total equity	**25,540**	**26,397**
Total equity and liabilities	**€42,497**	**€44,277**

Source: SAP Group 2017 annual report.

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Analyzing Balance Sheets

Exhibit 3:

Apple, Inc. Consolidated Balance Sheets (Excerpt: Non-Current Assets Detail) (in millions of US dollars)

Assets	**30 September 2017**	**24 September 2016**
Total current assets	128,645	106,869
Long-term marketable securities	194,714	170,430
Property, plant and equipment, net	33,783	27,010
Goodwill	5,717	5,414
Acquired intangible assets, net	2,298	3,206
Other non-current assets	10,162	8,757
[All other assets]	*246,674*	*214,817*
Total assets	375,319	321,686
Liabilities and shareholders' equity		
Total current liabilities	100,814	79,006
[Total non-current liabilities]	*140,458*	*114,431*
Total liabilities	241,272	193,437
Total shareholders' equity	134,047	128,249
Total liabilities and shareholders' equity	375,319	321,686

Note: The italicized subtotals presented in this excerpt are not explicitly shown on the face of the financial statement as prepared by the company.

Source: Apple Inc. 2017 annual report (Form 10K).

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